4

‘When the Facts Change, I Change My Mind’

Do You Endorse Inflation-targeting?

In 2015, the Reserve Bank, under Governor Raghuram Rajan, adopted 4 per cent consumer price index (CPI) inflation as the anchor for its monetary policy. As governor, I had expressed reservations on inflation targeting. Several people have asked me if I endorse Rajan’s approach. I do, notwithstanding some reservations I continue to have. In order to explain my position, it’s necessary to first understand the issue of inflation-targeting in a broader global context.

Inflation-targeting around the World

The years before the global financial crisis in 2008 saw a powerful intellectual consensus building around inflation-targeting. A growing number of central banks, starting with New Zealand in the late 1990s and thereafter numbering over thirty, embraced the principle of gearing monetary policy almost exclusively towards stabilizing inflation. This involved the central bank openly committing to a target for consumer price inflation and making the achievement of that target the overriding priority of monetary policy. This approach seemed successful, delivering as it did the Great Moderation—an extended period of price stability accompanied by stable growth and low unemployment. In the world that existed before the crisis, central bankers were a triumphant lot. They believed they had discovered the Holy Grail!

That sense of triumph was short-lived. The global financial crisis dented, if not dissolved, the consensus around the minimalist formula of inflation-